nearly all market participants. But why? In the stock market *anything* can happen—and I would argue the point even more strongly today.

Changes in the nature and structure of our financial markets—and a radical shift in its participants—are making shocking and unexpected market aberrations ever more probable. The amazing market swings we have witnessed in the past few years tend to confirm that likelihood. In the 1950s and 1960s, the daily changes in the level of stock prices typically exceeded 2 percent only three or four times per year. But in the year ended July 30, 2008, we've witnessed 35 such moves—14 were up, and 21 were down. Based on past experience, the probability of that scenario was . . . *zero.*

So not only is speculation a loser's game; it's a game whose outcome can't be predicted with any kind of confidence. The laws of probability don't apply to our financial markets. For in the speculation-driven financial markets there is no reason whatsoever to expect that just because an event has never happened before, it can't happen in the future. Metaphorically speaking, *the fact that the only swans we humans have ever observed are white doesn't mean that no black swans exist.* For evidence, look no further than the Black Monday I just mentioned. Not only was its occurrence utterly unpredictable and beyond all historical experience, but its consequences were, too. Far from being an omen of dire days ahead, it proved to be a harbinger of the greatest bull market in recorded history. So one never knows.

Nassim Nicholas Taleb captures this idea with great insight in his book, *The Black Swan:The Impact of the Highly Improbable* (Random House, 2007).[7] But Taleb only confirms what we already know: In the financial markets, the improbable is, in fact, highly probable (or, as Taleb also notes, the highly probable is utterly improbable).Yet far too many of us, amateurs and professionals alike, investors and advisers and managers, continue to look ahead with apparent confidence that the past is prologue in the financial markets, based on our assumptions that the probabilities established by history will endure. Please, please, please: *Don't count on it*.